

HOUSING FINANCE

Head Office: Rehani House, Koinange/ Kenyatta Avenue St. P.O.Box 30088, 00100 - Nairobi, Kenya.

Tel: (+254 20) 317474,3262000 Fax: (+254 20) 340299, E-Mail: housing@housing.co.ke.

Website: <http://www.housing.co.ke>

Housing
Finance

Turning dreams into homes

UNAUDITED FINANCIAL STATEMENTS AND DISCLOSURES FOR THE PERIOD ENDED 30 JUNE 2010

I. BALANCE SHEET

	GROUP				COMPANY			
	30.06.2009 UnAudited (Ksh'000)	31.12.2009 Audited (Ksh'000)	31.03.2010 UnAudited (Ksh'000)	30.06.2010 UnAudited (Ksh'000)	30.06.2009 UnAudited (Ksh'000)	31.12.2009 Audited (Ksh'000)	31.03.2010 UnAudited (Ksh'000)	30.06.2010 UnAudited (Ksh'000)
A. ASSETS								
1 Cash balances		99,113	106,118	114,161	123,978	99,113	106,118	114,161
2 Balances due from Central Bank of Kenya		-	-	-	-	-	-	-
3 Government securities		478,505	509,507	503,595	510,186	478,505	509,507	503,595
4 Foreign Currency Treasury bills and bonds		-	-	-	-	-	-	-
5 Deposits and balances due from banking institutions		2,522,244	2,320,140	3,357,792	5,181,432	2,522,244	2,320,140	3,357,792
6 Deposits and balances due from banking institutions abroad		-	-	-	-	-	-	-
7 Government and other securities held for dealing purposes		-	-	-	-	-	-	-
8 Tax recoverable		18,420	-	-	26,021	-	-	1,919
9 Loans and advances to customers (net)		12,203,204	14,495,208	15,349,625	16,357,930	12,203,204	14,495,208	15,349,625
10 Investment securities		-	-	-	-	-	-	-
11 Balances due from group companies		-	-	-	-	-	-	-
12 Investment in associates		-	-	-	-	-	-	-
13 Investment in subsidiary companies		-	-	-	-	-	-	-
14 Investment in Joint ventures		-	-	-	-	-	-	-
15 Investment properties		-	-	-	-	-	-	-
16 Property and equipment		338,526	580,907	578,116	604,721	332,337	574,756	571,984
17 Prepaid operating lease rentals		49,619	49,257	49,097	48,936	42,442	42,171	42,056
18 Intangible assets		5,959	4,146	3,473	2,978	5,897	4,094	3,450
19 Deferred tax asset		65,024	70,743	70,658	73,866	11,804	15,638	15,638
20 Retirement benefit asset		-	-	-	-	-	-	-
21 Other assets		125,062	103,333	106,293	116,492	114,662	83,109	89,185
22 TOTAL ASSETS		15,905,676	18,239,359	20,132,810	23,046,540	15,940,228	18,280,761	20,177,506
								23,067,154
B. LIABILITIES								
23 Balances due to Central Bank of Kenya		-	-	-	-	-	-	-
24 Customer deposits		11,264,665	12,219,449	13,619,882	16,402,873	11,287,979	12,234,645	13,620,959
25 Deposits and balances due to local banking institutions		-	-	-	-	-	-	-
26 Deposits and balances due to foreign banking institutions		-	-	-	-	-	-	-
27 Other money market deposits		-	-	-	-	-	-	-
28 Borrowed funds		650,000	1,700,000	2,000,000	2,000,000	650,000	1,700,000	2,000,000
29 Balances due to group companies		-	-	-	-	14,824	2,851	15,600
30 Tax payable		-	26,091	57,120	-	5,102	50,193	81,222
31 Dividends payable		69,000	-	-	115,000	69,000	-	115,000
32 Deferred tax liability		-	-	-	-	-	-	-
33 Retirement benefit liability		-	-	-	-	-	-	-
34 Other liabilities		246,709	220,443	309,338	428,495	227,631	208,841	303,093
35 TOTAL LIABILITIES		12,230,374	14,165,983	15,986,340	18,946,368	12,254,536	14,196,530	16,020,874
								18,956,519
C. SHAREHOLDERS' FUNDS								
36 Paid up capital		1,150,000	1,150,000	1,150,000	1,150,000	1,150,000	1,150,000	1,150,000
37 Share premium		1,549,173	1,549,173	1,549,173	1,549,173	1,549,173	1,549,173	1,549,173
38 Revaluation reserve		193,418	449,202	449,202	449,202	193,418	449,202	449,202
39 Retained earnings		189,787	174,216	235,930	214,040	200,177	185,071	246,092
40 Statutory Loan Loss Reserve		542,174	585,035	596,415	606,507	542,174	585,035	596,415
41 Proposed dividends		-	115,000	115,000	80,500	-	115,000	80,500
42 Capital grants		50,750	50,750	50,750	50,750	50,750	50,750	50,750
43 TOTAL SHAREHOLDERS' FUNDS		3,675,302	4,073,376	4,146,470	4,100,172	3,685,692	4,084,231	4,156,632
								4,110,635
44 TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS		15,905,676	18,239,359	20,132,810	23,046,540	15,940,228	18,280,761	20,177,506
								23,067,154

II. INCOME STATEMENT

	GROUP				COMPANY			
	30.06.2009 UnAudited (Ksh'000)	31.12.2009 Audited (Ksh'000)	31.03.2010 UnAudited (Ksh'000)	30.06.2010 UnAudited (Ksh'000)	30.06.2009 UnAudited (Ksh'000)	31.12.2009 Audited (Ksh'000)	31.03.2010 UnAudited (Ksh'000)	30.06.2010 UnAudited (Ksh'000)
1 INTEREST INCOME								
1.1 Loans and advances	703,473	1,556,862	496,220	1,028,551	703,473	1,556,862	496,220	1,028,551
1.2 Government Securities	15,780	32,556	9,183	18,067	15,780	32,556	9,183	18,067
1.3 Deposits and Placements with banking institutions	110,860	214,704	54,954	103,559	110,860	214,704	54,954	103,559
1.4 Other interest income	-	-	-	-	-	-	-	-
1.5 Total Interest income	830,113	1,804,122	560,357	1,150,177	830,113	1,804,122	560,357	1,150,177
2 INTEREST EXPENSES								
2.1 Customers' Deposits	257,653	571,569	189,638	401,258	257,749	571,670	189,643	401,268
2.2 Deposits and placements from banking institutions	-	-	-	-	-	-	-	-
2.3 Other interest expenses	25,255	85,010	42,353	85,495	25,255	85,010	42,353	85,495
2.4 Total Interest expenses	282,908	656,579	231,991	486,753	283,004	656,680	231,996	486,763
3 NET INTEREST INCOME	547,205	1,147,543	328,366	663,424	547,109	1,147,442	328,361	663,414
4 OTHER OPERATING INCOME								
4.1 Fees and commissions on loans and advances	39,697	85,156	14,832	45,645	39,697	85,156	14,832	45,645
4.2 Other fees and commissions	42,864	83,936	16,468	32,774	35,718	72,851	16,410	32,774
4.3 Foreign exchange trading income	-	-	-	-	-	-	-	-
4.4 Dividend income	-	-	-	-	-	-	-	-
4.5 Other income	27,765	57,810	17,777	36,380	25,763	50,764	17,400	35,510
4.5 Total Non interest income	110,326	226,902	49,077	114,799	101,178	208,771	48,642	113,929
5 TOTAL OPERATING INCOME	657,531	1,374,445	377,443	778,223	648,287	1,356,213	377,003	777,343
6 OPERATING EXPENSES								
6.1 Loan loss provision	96,714	225,487	59,530	117,582	96,714	225,487	59,530	117,582
6.2 Staff costs	223,175	388,687	112,025	237,007	218,353	377,997	111,999	236,954
6.3 Directors emoluments	3,000	31,525	1,508	5,631	3,000	31,525	1,508	5,631
6.4 Rental charges	5,601	12,106	3,241	6,331	5,601	11,684	3,190	6,228
6.5 Depreciation on property and equipment	18,086	38,523	13,549	27,309	18,087	36,459	8,337	17,037
6.6 Amortisation charges	4,022	6,103	2,596	5,136	3,883	5,918	2,549	5,002
6.7 Other operating expenses	175,023	320,896	81,375	172,977	169,240	313,268	86,460	183,051
6.8 Total Other Operating Expenses	525,621	1,023,327	273,824	571,973	514,878	1,002,338	273,573	571,485
7 Profit before tax and exceptional items	131,910	351,118	103,619	206,250	133,409	353,875	103,430	205,858
8 Exceptional items	-	-	-	-	-	-	-	-
9 Profit before tax but after exceptional items	131,910	351,118	103,619	206,250	133,409	353,875	103,430	205,858
10 Current tax	(39,573)	(122,663)	(31,029)	(67,577)	(40,023)	(121,568)	(31,029)	(67,577)
11 Deferred Tax	-	5,721	-	3,123	-	3,834	-	3,123
12 Profit After Tax and exceptional items	92,337	234,176	72,590	141,796	93,386	236,141	72,401	141,404

III. DISCLOSURES

	GROUP				COMPANY			
	30.06.2009 UnAudited (Ksh'000)	31.12.2009 Audited (Ksh'000)	31.03.2010 UnAudited (Ksh'000)	30.06.2010 UnAudited (Ksh'000)	30.06.2009 UnAudited (Ksh'000)	31.12.2009 Audited (Ksh'000)	31.03.2010 UnAudited (Ksh'000)	30.06.2010 UnAudited (Ksh'000)
Non-Performing Loans and Advances								
a) Gross non-performing loans and advances	1,913,012	1,815,135	1,912,024	1,799,245	1,913,012	1,815,135	1,912,024	1,799,245
b) Less: Interest in Suspense	594,035	555,353	524,524	493,565	594,035	555,353	524,524	493,565
c) Total non-Performing loans and advances (a-b)	1,318,977	1,259,782	1,387,500	1,305,680	1,318,977	1,259,782	1,387,500	1,305,680
d) Less: Loan loss provisions	446,066	505,430	512,254	534,047	446,066	505,430	512,254	534,047
e) Net non-performing loans and advances(c-d)	872,911	754,352	875,246	771,633	872,911	754,352	875,246	771,633
f) Discounted value of securities	872,911	754,352	875,246	771,633	872,911	754,352	875,246	771,633
g) Net Exposure(e-f)	-	-	-	-	-	-	-	-
Insider loans and advances								
a) Directors, shareholders and associates	-	-	-	-	-	-	-	-
b) Employees	259,549	318,845	330,483	351,214	259,549	318,845	330,483	351,214
c) Total Insider Loans and Advances	259,549	318,845	330,483	351,214	259,549	318,845	330,483	351,214
Off-Balance Sheet items								
a) Letters of credit, guarantees and acceptances	5,733	1,033	1,033	1,033	5,733	1,033	1,033	1,033
b) Other contingent liabilities	-	-	-	-	-	-	-	-
c) Total contingent liabilities	5,733	1,033	1,033	1,033	5,733	1,033	1,033	1,033
Capital Strength								
a) Core capital				2,852,657		2,884,244		2,909,064
b) Minimum Statutory Capital				250,000		250,000		350,000
c) Excess/Deficiency				2,602,657		2,634,244		2,559,064
d) Supplementary capital				198,947		279,054		287,895
e) Total capital (a+d)				3,051,604		3,163,298		3,196,959
f) Total risk weighted assets				7,987,394		9,280,302		9,987,519
g) Core capital /Total deposit liabilities				25.27%		23.57%		21.36%
h) Minimum Statutory Ratio				8.00%		8.00%		8.00%
i) Excess/Deficiency				17.27%		15.57%		13.36%
j) Core capital /Total risk weighted assets				35.71%		31.08%		29.13%
k) Minimum Statutory Ratio				8.00%		8.00%		8.00%
l) Excess/Deficiency (j-k)				27.71%		23.08%		21.13%
m) Total capital /Total risk weighted assets				38.21%		34.09%		32.01%
n) Minimum Statutory Ratio				12.00%		12.00%		12.00%
o) Excess/Deficiency (m-n)				26.21%		22.09%		20.01%
Liquidity								
a) Liquidity Ratio				26.60%		23.89%		28.71%
b) Minimum Statutory Ratio				20.00%		20.00%		20.00%
c) Excess(Deficiency) (a-b)				6.60%		3.89%		8.71%

The above Profit & Loss and Balance Sheet are extracts of the financial statements and records of the company and its subsidiaries.